

Customer ID: 120

Date: April 16, 2026

Customer Churn Risk Report

Prediction

Stay – 44.15% chance of churn

Risk Label: No Risk

Top Drivers

1. **Order Frequency:** -70.18% (Decreases churn risk)

This feature indicates that the customer tends to place orders frequently. A higher order frequency is associated with lower churn risk.

2. **Recency:** -23.13% (Decreases churn risk)

The recency of orders reflects recent engagement with the brand. The longer it's been since the last order, the higher the churn risk. This customer last ordered recently.

3. **Total Monetary Value:** +13.65% (Increases churn risk)

This represents the total amount spent by the customer. A negative value can imply that they may have previously returned products, which can increase the risk if it indicates dissatisfaction.

4. **Total Orders Made for Stock:** +7.24% (Increases churn risk)

This metric informs how many orders were placed for stock products. A high count could imply reliance on certain stock items and frustration if availability is inconsistent.

5. **Tenure:** -6.52% (Decreases churn risk)

Represents the length of time the customer has been with the company; longer tenure generally leads to lower churn risk. A higher tenure suggests deeper customer loyalty.

Business Interpretation

- **Order Frequency and Recency:** High engagement levels are protective against churn. These metrics should be emphasized in retention strategies.
- **Total Monetary Value:** Indicates potential issues with satisfaction tied to past complaints or returns. Managing customer perceptions and experiences here is vital.
- **Total Orders Made for Stock:** Reliance on certain stock products should warrant ensuring product availability and addressing any issues swiftly to prevent dissatisfaction.
- **Tenure:** Longer relationships can be leveraged for loyalty programs to maintain ongoing engagement and prevent churn.

Recommendations

1. **Leverage Order Frequency & Recency to Implement a Retargeting Campaign**

- **Action:** Create targeted email campaigns featuring relevant products based on previous orders and engagement behavior to encourage orders.

- **Estimated Impact:** High
- **Implementation Difficulty:** Easy
- **Responsible Role:** Marketing Team
- **Success Metrics:** Increase in sales from recency retargeting by 20% in the next quarter.

2. Address Concerns Related to Total Monetary Value with Customer Satisfaction Surveys

- **Action:** Launch surveys to understand customer experiences better, focusing on concerns regarding order dissatisfaction and returns.
- **Estimated Impact:** Medium
- **Implementation Difficulty:** Moderate
- **Responsible Role:** Customer Experience Team
- **Success Metrics:** 15% improvement in customer satisfaction scores within six months.

3. Enhance Stock Product Availability

- **Action:** Perform an inventory audit to improve stock availability based on total orders made for stock while updating customers on stock availability actively.
- **Estimated Impact:** High
- **Implementation Difficulty:** Moderate
- **Responsible Role:** Logistics/Inventory Management Team
- **Success Metrics:** Reduction of customer complaints related to stock availability by 30% in the next quarter.

By focusing on these targeted action plans, the marketing team can proactively manage the elements that affect customer loyalty and ultimately reduce churn within this segment of customers.